MERTON DAILY BRIEF - Thursday, May 21, 2026

HEADLINE OF THE DAY

*Oil collapses on Iran peace hopes - WTI -8.5% to $99, Brent -5.3% to $106**
Trump declares the US is in "final stages" with Iran. Market pricing an imminent deal. Long yields continue to rise (10Y at 4.57%, 30Y at 5.12%) despite oil risk-off. Paradox: gold corrects (-0.44%) despite geopolitics. SpaceX and OpenAI prepare historic IPOs. Nvidia raises dividend but investors doubt growth.

GLOBAL SENTIMENT

****VIX** ? 17.44 (+1.04%) | Low, no panic**

****DXY** ? 99.15 (+0.18%) | Dollar stable, relative strength**

****Gold** ? 4,532 (-0.44%) | Correcting despite geopolitics**

****US 10Y** ? 4.57% (+2.49%) | Yields rising, selling pressure**

****US 30Y** ? 5.12% (+2.08%) | Curve steepening**

****S&P 500** ? 7,433 (-0.15%) | Slightly down**

****NASDAQ** ? 26,270 (-0.50%) | Tech under pressure**

****WTI** ? 99.44 (-8.49%) | COLLAPSE - Iran peace**

****Brent** ? 106.16 (-5.30%) | Following WTI but less severe**

****BTC** ? 77,738 (+0.40%) | Stable, no clear correlation**

****Copper** ? 6.29 (+0.22%) | Stable, weak China**

****Silver** ? 75.58 (-1.94%) | Still under post-crash pressure**

The market is in a "selective peace dividend" regime. Oil plunges on Iran deal hopes, but yields don't fall - they show energy inflation is already in the system. Gold corrects because real yields explode (10Y at 4.57% = real yield >2% if inflation ~2.5%). Dollar remains king. Tech suffers from double pressure: yields + Nvidia uncertainty.

MACRO - WHAT MOVED

US

Trump "final stages" with Iran - Major declaration sending oil lower. Polymarket pricing 18.5% chance of permanent peace deal by end of May. If confirmed, oil could test $90.

Long yields rising - 10Y at 4.57% (+2.49%), 30Y at 5.12% (+2.08%), 5Y at 4.23% (+2.52%). Bond bloodbath continues. "Bond vigilantes" are back.

FOMC blackout - No Fed communication before next decision. Market in wait-and-see mode. Last Powell decision before transition.

Nvidia raises dividend but investors worry about growth. Bar is extremely high for earnings. A miss could shake tech.

SpaceX IPO - Elon Musk prepares the biggest IPO in history under symbol SPCX. Nasdaq listing.

OpenAI IPO - Ready to file for listing as early as September. Tech market in "IPO frenzy" mode.

US crude + gasoline inventories sinking fast (Oilprice) - Despite falling oil, physical stocks are declining. Underlying bullish signal.

IEA: Oil shock = surge in EV sales - Expensive energy accelerates the transition.

EU

ECB: window to "look through" energy shock has closed (FT) - ECB can no longer ignore energy inflation. Risk of hawkish pivot.
Starmer postpones fuel duty increase - Political pressure amid energy crisis. UK hit hard.
UK eases sanctions on refined Russian oil into jet fuel and diesel - Energy pragmatism.
UK and Gulf States hail trade deal after 4 years of talks (Bloomberg) - Post-Brexit diversification.
Norway: offshore production beats forecasts in April - Positive supply for Europe.

CHINA
China: spending falls most in 6 months (Bloomberg) - Blow to stimulus. Domestic consumption weakening.
Iran war = "golden window" for renminbi (FT) - China pushes its currency in global oil trade.
Koeda (BOJ): BOJ should keep hiking - Japan normalizing policy. USD/JPY at 159, upside pressure on yen if BOJ acts.
APEC: trade ministers meetings - US-China tensions, Trump threatens to "dangle" a Taiwan call.

UK
"Italianisation" of UK - Market treats UK like Italy 10 years ago. GBP/USD at 1.34, structural pressure.
Starmer postpones fuel duty - Popular but fiscally costly.
UK-Gulf trade deal - Signed, energy diversification.

EM
Bank Indonesia: pressure for another hike (Bloomberg) - EMs suffer from strong dollar and high US yields.
Central Asia trade corridor faces security risks (Oilprice) - New Silk Road under tension.
Africa: protests amid fuel crisis (FT) - Africa suffers the backlash of the energy shock.
South Korea: early trade data shows sustained chip boom - Semiconductors carry Asia.

GEOPOLITICS

Hot
Trump "final stages" with Iran - Most important statement of the week. But Iran promises retaliation beyond the Middle East. Polymarket: 18.5% chance of permanent deal by end of May.
Hormuz still blocked - Despite peace hopes, the strait remains tense. Brent at $106 still reflects significant geopolitical risk premium.
Trump threatens to destroy US-China detente with a Taiwan call - If Trump calls Xi and mentions Taiwan, the entire framework could collapse.

Watch
SpaceX IPO (SPCX) - Biggest IPO in history. Impact on tech market.
OpenAI IPO in September - Market will be flooded with tech IPOs.
Nvidia earnings - Bar very high. A miss = tech panic.
BOJ rate decision - Koeda wants to keep hiking. If BOJ acts, USD/JPY could drop to 155.
G7 finance ministers - Emergency call on energy crisis.

Positive
Peace deal optimism - Market pricing a resolution to the Iran conflict.
Norway production beats - European energy supply improving.
UK-Gulf trade deal - Successful commercial diversification.
EM resilience - Emerging markets no longer panic like before (FT).

FX FOCUS

`EUR/USD` ? 1.1628 (-0.29%) | Under pressure from ECB/Fed divergence
`GBP/USD` ? 1.3437 (+0.34%) | Temporary respite, bearish structure
`USD/JPY` ? 159.02 (+0.40%) | BOJ hawkish = bearish USD/JPY risk
`USD/CHF` ? 0.7869 (+0.34%) | Swiss franc follows euro

Analysis: The dollar remains king despite peace deal optimism. DXY at 99.15 shows relative strength. Euro suffers from ECB/Fed divergence - ECB stuck between energy inflation and weak growth. GBP has a temporary reprieve (+0.34%) but the structural trend is bearish ("Italianisation"). USD/JPY at 159 is the hot spot: if BOJ hikes, we could see a short squeeze to 155. CHF follows the euro as usual.

****Pair to watch:** `USD/JPY` - Catalyst: BOJ decision. If hike ? 155. If hold ? 160+. Risk of Japan inte**

COMMODITIES

Oil: WTI 99.44 (-8.49%) | Brent 106.16 (-5.30%)

*COLLAPSE.** The sole driver: Trump "final stages" with Iran. Market pricing a resolution and therefore a reopening of Hormuz. But caution: US crude and gasoline inventories are sinking fast (Oilprice), meaning real demand is strong. Bloomberg consensus for next year is still ~$100/barrel. Oil has overreacted to the downside - a technical bounce is likely if the deal doesn't materialize quickly. Goldman: stock drawdowns at record pace.

Gold: 4,532 (-0.44%)

Paradox: gold corrects despite geopolitics. The reason: US real yields are exploding (10Y at 4.57%). The opportunity cost of holding gold increases. Goldman warns that central banks will intensify purchases - this is a structural floor. Key support: 4,400-4,500. If yields fall (peace deal confirmed), gold could rally again.

Silver/Copper:

Silver: 75.58 (-1.94%) - Still under pressure after last week's crash (-14.75%). Support holds but confidence is shaken.

Copper: 6.29 (+0.22%) - Stable despite disappointing China data. Market pricing Chinese stimulus.

Soft:

Whey prices in "gravity-defying" rally (FT) - Protein boom drives whey prices.
Saudi Arabia imports fuel oil as gas output dips - Paradox for an oil country.

AGENDA

Thursday, May 21, 2026
FOMC blackout in effect - No Fed communication
Nvidia earnings in focus this week

This week:
Thu 21: FOMC blackout, Nvidia earnings
Fri 22: PMI Flash US/EU/UK
Mon 25: Memorial Day US (markets closed)
Tue 26: Consumer Confidence US
Wed 27: Durable Goods Orders US
Thu 28: GDP US (Q1 revision)
Fri 29: PCE Inflation US (Fed's favorite indicator)

DEEP MACRO THEME OF THE DAY

*The "Selective Peace Dividend" - Why Oil Plunges but Yields Don't Fall**

The market is experiencing a rare moment: a geopolitical shock (Iran) that is potentially resolving, but without the inflationary consequences disappearing. This is the "selective peace dividend" scenario.

On one hand, oil plunges (-8.5% WTI) because the market is pricing the end of the Hormuz blockade. This is logical: if Iran stops disrupting, supply returns, prices fall. The geopolitical "risk premium" evaporates.

But on the other hand, US yields don't fall. On the contrary, they rise. Why? Because the energy inflation of recent weeks is already in the system. US gasoline prices are at records. Gasoline inventories are melting. And the Fed is in blackout - no one can reassure the market.

The result is a hybrid regime: risk-on for oil (peace = good for growth), but risk-off for bonds (inflation = higher yields). This is exactly the 2003-2004 regime: the Iraq war ends, oil falls, but yields rise because the economy is overheating.

Gold is the big loser of this regime: it no longer benefits from geopolitical risk-off (peace in sight) but suffers from high real yields. This is why it corrects despite geopolitics.

The real risk: if the peace deal doesn't materialize (Polymarket gives only 18.5%), oil could rebound violently while yields remain high = pure stagflation.

CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

"Iran peace deal will happen" ? Polymarket gives only 18.5%. Equity market pricing 80%+.
"Yields will fall with peace" ? Yields are rising despite peace. Inflation is already in the system.
"Gold is a safe haven in times of crisis" ? Gold corrects because real yields are the real driver.
"Nvidia will save tech" ? Bar very high. Dividend raise = cautious management = slowing growth?
"EMs will panic" ? EMs no longer panic like before (FT). Structural resilience.
"Dollar will weaken with peace" ? DXY remains at 99. Dollar benefits from high yields.

The alpha:

1. **Long WTI / Short Brent spread** - Entry: $6.70 spread (106-99). Target: $3. WTI has overreacted to the downside. Technical bounce likely.
2. **Short Gold to 4,400** - High yields + peace optimism = short selling. Invalidation: Fed dovish or VIX >20.
3. **Long USD/JPY put spread (159/155)** - If BOJ hikes, yen strengthens. Catalyst this week.
4. **Long Nvidia put spread pre-earnings** - Bar too high. Dividend raise = cautious signal. If miss, -10% easy.
5. **Long EUR/USD to 1.17** - Euro is oversold. If ECB turns hawkish (energy inflation), technical bounce.

MERTON'S TAKE

*Regime: Selective Peace Dividend - Oil Down, Yields Up, Dollar King.**

We are living through a rare transition moment. The market is shifting from a "geopolitical risk premium" regime to an "inflation already priced in" regime. It's subtle but crucial.

*The driver of the week:** The Iran peace deal. Trump says "final stages." The equity market says "it's done." But Polymarket says 18.5%. Historically, Trump announces deals that take longer than expected. Oil has overreacted.

*My conviction:** The peace deal will take longer than expected. Iran won't capitulate easily - they've promised retaliation beyond the Middle East. Oil will rebound to $105-110 (Brent) in the coming weeks. Yields will remain high because energy inflation is already in the system.

*Trade of the week:** Long Oil (WTI at $99 = near-perfect entry), Short Gold (target 4,400), Long USD (DXY at 99 = support). Cash is still king - long bonds should be avoided as long as 10Y is above 4.50%.

*Position:** Defensive but opportunistic. Buy oil on weakness (peace deal = narrative, not yet reality). Reduce gold. Watch Nvidia - a miss could be the catalyst that sends S&P to test 7,200. Next major catalyst: PCE Inflation Friday 29th - if inflation is higher than expected, yields will explode and S&P will suffer.

Sources: Yahoo Finance API (17 tickers), FT RSS Home & Markets, Bloomberg RSS Markets & Economics & Politics, Oilprice.com, ZeroHedge, Polymarket API, Financial Juice, ForexLive*
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